HEDGEYE

The Call @ Hedgeye | Replay & Summary | 4/22/2026

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We've highlighted some key callouts below from today's edition to make sure you're fully prepared and aware of what our analyst team is watching right now.

CLICK HERE ***to access the video and audio replay***

HEDGEYE POSITIONS

(Positioning refers to each sector's position monitors)

LONGS: SBUX, PM, BBWI, DGX, PCAR

SHORTS: BRBR, SMPL, CAG, OLLI, HCA, COF

NEUTRAL: JNJ, ELV, CAR

TOP 5 MOST ACTIONABLE

(Positioning based on Hedgeye's Macro Signals, sector analysis and Signal Strength)

- **Starbucks Corporation (SBUX):** On the signal strength long list; Turnaround gaining traction with improving transaction growth and strong high-frequency data; operational improvements across product innovation, digital infrastructure, and AI-driven ordering; talent acquisition from competitors supports long-term execution; positioned as a clean Quad 2 consumer discretionary long
- **BellRing Brands (BRBR):** Remains a short despite resilience; competitive intensity in protein RTD category continues to worsen; thesis centered on margin pressure and category saturation; considered late innings of the short but no catalyst to cover yet
- **Bath & Body Works (BBWI):** Stock moving higher with improving setup; easy base effects beginning mid-April support near-term upside; growth accelerators include e-commerce improvements and potential wholesale/white-label expansion; high short interest adds squeeze potential; remains a favored Quad 2 long
- **HCA Healthcare (HCA):** Positioned as a signal strength short into earnings; weak Quad Factor Score and deteriorating healthcare macro backdrop; concerns around consumption slowdown, margin pressure, and cost trends; earnings expected to be in-line but broader setup remains negative
- **PACCAR Inc. (PCAR):** Benefits from Quad 2 pivot into cyclicals; simple and clean bull case relative to peers; part of broader rotation into industrials with improving signal strength

MACRO COMMENTARY

- Strong Quad 2 transition underway; aggressive repositioning: added GDX, silver, and high yield; utilities fully exited
- Dollar failed at top of range while gold and Bitcoin are breaking higher; Bitcoin at new cycle highs reinforces risk-on shift
- Earnings season strong with NASDAQ earnings growth tracking ~112% YoY; market signaling continued strength
- Forward outlook suggests potential shift from Quad 2 to Quad 1 in coming months, implying moderation in inflation and changing asset allocation preferences

SECTOR SUMMARY

(Analyst positioning may occasionally vary from the Macro signal)

Restaurants & Cannabis: Bennett Cheer – 00:03:06

- **Starbucks Corporation (SBUX):** Came onto the signal strength long list; turnaround is real and translating into transaction growth; frequency flywheel accelerating with energy refreshers, AI drive-through integration, and a forthcoming companion bot feature; Chipotle's former

CDO (Steven Fiacentini) recently joined as Chief Coffeehouse Design & Development Officer; SBUX remains on the long bench

Consumer Staples: Daniel Biolsi - 00:07:01

- **BellRing Brands, Inc. (BRBR):** Still a short; competitive intensity in the protein RTD shake category continues to worsen; shelf-level competition has yet to fully materialize, suggesting more downside ahead; analyst characterizes the short as in later innings but would not cover before seeing more competitive data flow through
- **Simply Good Foods (SMPL):** Referenced alongside BRBR as being in the same competitively pressured protein RTD category; SMPL is the preferred name over BRBR within the category per analyst commentary
- **Conagra Brands (CAG):** Dividend yield now exceeds 9%, surpassing tobacco names — cited as a signal that numbers are wrong, not a value opportunity
- **Philip Morris International (PM):** Reported; beat on earnings, guidance unchanged ex-FX; ZYN shipments declined 23.5% — worse than expected; sell-through volumes decelerated to +10% from +23% sequentially; stock is up on the company's announcement of an upcoming ZYN Ultra launch (the key catalyst that changes the competitive and EPS picture); key focus on earnings call language around inventory positioning ahead of the 2.0 product launch; bearish trade and trend, in the wrong sector bucket for Quad 2

Retail: Brian McGough - 00:18:15

- **Ollie's Bargain Outlet (OLLI):** Stock down 6% yesterday; high-frequency data deteriorating; despite a favorable off-price environment (Big Lots bankruptcy eliminating a key competitor), OLLI is underperforming; comp expectations need to come down; peak unit growth occurring simultaneously with new store productivity dropping to 60% (well below the 80–90% normalized range); trading at ~14x EBITDA
- **Bath & Body Works, Inc. (BBWI):** Stock moved from $16 to $21; base effects turned easy starting mid-April; Amazon shop-in-shop launched approximately 2.5 months ago (not yet reflected in real-time data); potential back-half white-label/wholesale program with Sephora, Ulta, and TJX could drive top-line growth from ~0% to ~8%; stock remains heavily shorted, creating additional upside potential on a trend flip

Health Care: Tom Tobin - 00:24:50

- **HCA Healthcare (HCA):** Reports April 23; signal strength short; same-store admissions/surgery/pricing model suggests Q1 in-line, but macro healthcare view points to sequential pressure on margins, volumes, and cost trend; sits at the bottom of the quad factor score among providers

- **Quest Diagnostics (DGX):** Moved up to the third quartile on the quad factor score; extraordinary acceleration in organic volume; question is whether the growth rate improves or decelerates from here; slowdown already partially baked into consensus
- **Johnson & Johnson (JNJ):** Signal is bearish trade and trend; rising uninsurance rates arithmetically reduce consumption across the U.S. medical economy, a negative for JNJ as one of the largest providers across all healthcare facets

Healthcare Policy: Emily Evans - 00:31:22

- **Elevance Health (ELV):** Expected to raise guidance, which will satisfy the Street, but quarter is characterized as low quality — aided by investment returns and a significant regulatory item; following the same playbook as Humana and UNH: trimming membership to right-size to premium in an extremely competitive Medicare Advantage market; medical cost ratio remains elevated; still significant work remaining on the managed care front; political risk exists if these companies, which operate as government contractors, continue to shed members and redefine the government relationship

Macro, Housing, Digital Assets & Financials: Josh Steiner - 00:36:08

- **Capital One Financial (COF):** Missed on both top and bottom line; EPS $4.42 vs. $4.50 estimate; revenue $15.2B vs. $15.3B estimate; provision expense $4.1B vs. $3.7B expected (includes ~$250M reserve build attributed to auto growth and qualitative macro downside adjustment); non-interest expense $8.5B vs. $8.4B estimate; purchase volume accelerated in Q1 year-over-year (180 bps acceleration from Q4); loan growth ex-Discover was 3.9% (accelerated 60 bps); 30-day delinquency rate on card book 3.7% (down 55 bps year-over-year, roughly flat quarter-over-quarter); due to the Discover deal, PPNR base effects steepen dramatically in Q2 (+12.5 points) and Q3 (+~12 additional points)

Industrials & Materials: Jay Van Sciver - 00:44:46

- **Avis Budget Group (CAR):** Significant short squeeze underway; two activist-aligned shareholders (including SRS) own ~71% of the stock combined; remaining float is heavily shorted; company owns a large fleet of cars with significant associated debt — fleet appreciation is a balance sheet tailwind; company could capitalize on elevated equity price to dribble out stock and de-lever, making the squeeze partially reflexive; compared to a GameStop-style flow trade
- **PACCAR Inc. (PCAR):** Re-added to signal strength longs; identified as having the simplest bull case among recently added industrials; PCAR is a top 5 most actionable long; Industrials (XLI) framed as a clean Quad 3-to-Quad 2 pivot from underweight to long

Communications & Software: Andrew Freedman - 00:50:33

- **Cursor / SpaceX:** SpaceX has struck a right-to-buy deal (warrant structure) to acquire Cursor, one of the largest agentic IDEs (developer interfaces) in software; reportedly valued at ~$60B; Elon Musk's strategic rationale is to leverage the Grok AI model as the go-to platform for agentic code development; consistent with competitive moves by Anthropic, OpenAI, and Google; developer ecosystem entrenchment is the key strategic asset being targeted

Telecom-Media Policy: Paul Glenchur - 01:00:26

- **Supreme Court:** Opinions expected at 10:00 AM today; two significant pending decisions: (1) independence of federal agencies broadly, and (2) the Lisa Cook Fed case; on the Lisa Cook decision, expectation is the Court will rule that while Trump can attempt to dismiss Fed board members for cause, removal cannot occur pending litigation of whether cause is justifiable — effectively insulating Jerome Powell and other Fed members from impulsive removal; Supreme Court signaled during oral arguments it does not want to disrupt the Fed; final decisions will be handed down over the next ~two months, with some potentially waiting until end of June

Macro Policy: JT Taylor - 01:02:41

- **Kevin Warsh Confirmation:** Senate Banking Committee hearing yesterday showed unanimous Republican support for Warsh's Fed Chair candidacy with no opposition; a potential off-ramp is being discussed whereby DOJ drops its investigation, followed by Senate Banking and House Financial Services committees initiating their own investigation; if that pathway materializes, confirmation could come closer to the May target date; if Trump does not take that off-ramp, June confirmation is the base case; Warsh faces a fundamental constraint — he cannot cut rates while inflation is accelerating, regardless of political pressure

(This summary has been enhanced with A.I., which can sometimes make errors)

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